

real marketing with a segment-wise approach. Bangur Concrete, for instance, has a play in ready-mix as a high-performance product.”

On the face of it, the premiumisation story seems to be working. “From 8%, the contribution of premium products to Shree Cement’s sales is 15% now. The company has been actively driving premiumisation with Bangur Magna as its key brand,” says Axis Securities’ Srimal.

This also has a positive impact on revenues and margins, as these brands sell for ₹30-40 more per bag than standard cement. “However, premium cement has a natural sales ceiling due to higher cost. That said, the company’s focus on that segment continues to gain traction, supported by stronger brand awareness and promotional efforts,” says Srimal.

NEW FRONTIERS

58 | Many players in India’s cement industry have regional strongholds. To that extent, it is not difficult to find a well-run operation restricted to, say, a state. If costs are in control, with a good brand, the business can be good.

Akhoury repeatedly emphasises the need to maintain cost leadership. He narrates a recent conversation with his team, where a suggestion to relocate a godown by a few kilometres led to a saving of ₹100 per tonne on freight costs. Also, building a low-speed rail track within the Purulia plant (in West Bengal), linking the plant to the nearest railway station, resulted in a price drop of ₹200 per tonne. The earlier plan was to use road transport. Shree is now also planning similar connectivity at its Kodla plant in Karnataka. Entering new markets with an existing robust cost structure helps.

For Shree, the foray into the south, a difficult market in the best of times, is also an important part of the strategy. The south is challenging to crack because of the fragmented nature of the market, with multiple players having small to very large plants. According to

HOW THE STOCK PERFORMED

- About 25 years ago, the company was on the verge of bankruptcy and its stock was down
- Innovative steps and cost adherence have led to the market recognising the potential of the stock

NOTE GRAPH NORMALISED TO THE BASE OF 100 **SOURCE** ACE EQUITY

● NIFTY 50 ● SHREE CEMENT

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WHAT DO THE NUMBERS SAY?

- Premiumisation in cement is hard as it’s a price-sensitive, and low-differentiation market
- On the face of it, the premiumisation story is paying off

